On a similar note, for many people, large fiscal deficits are always a bad thing. The analysis of the fiscal deficit must, however, be placed in two contexts.

Macro policy is working well when the fiscal deficit is highly dynamic and managed in a responsible way. In most years, there should be a small primary surplus, i.e., in most years we should be paying down debt and the debt/GDP ratio should be declining. This establishes fiscal soundness. Once this is in place, a sharp enlargement of the deficit occasionally, when the economy is faring badly, is perfectly healthy and legitimate.

This is predicated on the underlying fiscal soundness. The government should be highly solvent. In India, we should aspire for a credit rating that is better than the edges of speculative grade. This involves putting an end to conscription of savings through financial repression, running a small primary surplus in most years, sound fiscal and macro data, etc.

Once fiscal soundness is achieved, the ability to rarely run a large fiscal deficit, e.g., as was done by the UK in 2008–09, is the triumph of a fiscal policy that stabilizes. We should not reflexively think that all big fiscal deficits are bad. It is *chronic* deficits that are a bad thing; in most years, we should have a (correctly measured) primary surplus, and the (correctly measured) debt/GDP ratio should decline.

## One tool, one objective

A valuable element of the economics toolkit is ‘the assignment principle’, which comes from the great economist Jan Tinbergen. Each tool of policy can cater to one objective. We have to assign an objective to each instrument. After that has been done, that instrument has been ‘used up’. It cannot then pursue multiple objectives. This is a simple and powerful idea. It helps cut through numerous conundrums in the field of public policy, where failure is inevitable when $n$ instruments are being used to chase $m$ objectives, but $m > n$.